

BALANCE SHEET AS AT MARCH 31, 2019

		(Amount in ₹)	
Particulars	Note No.	Year Ended March 31, 2019	Year Ended March 31, 2018
ASSETS			
Financial Assets			
Cash and cash equivalents	2	423,324,043	221,095,279
Receivables			
(I) Trade Receivables	3	4,590,623,601	2,598,694,726
(II) Other Receivables		-	-
Investments	4	516,605	-
Other Financial assets	5	48,482,355	639,834,076
Total financial assets		5,062,946,604	3,459,624,081
Non-Financial Assets			
Deferred tax Assets (Net)	6	14,198,125	5,115,231
Property, Plant and Equipment	7	13,377,450	5,240,876
Capital work-in-progress	7	10,180,582	-
Other Intangible assets	8	7,243,731	8,396,116
Other non-financial assets	9	108,658,337	105,000,000
Total non-financial assets		153,658,225	123,752,223
Total Assets		5,216,604,829	3,583,376,304
LIABILITIES AND EQUITY			
LIABILITIES			
Financial Liabilities			
Payables			
(I) Trade Payables			
(i) total outstanding dues of micro enterprises and small enterprises		-	-
(ii) total outstanding dues of creditors other than micro enterprises and small enterprises	10	94,451,405	111,408,529
(II) Other Payables			
(i) total outstanding dues of micro enterprises and small enterprises		-	-
(ii) total outstanding dues of creditors other than micro enterprises and small enterprises		42,339,661	3,772,500
Borrowings (Other than Debt Securities)	11	4,000,000,000	2,500,000,000
Other Financial liabilities	12	57,425,275	14,693,663
Total financial liabilities		4,194,216,341	2,629,874,692
Non financial Liabilities			
Current tax liabilities (Net)	13	102,977,258	77,636,378
Provisions	14	23,793,355	13,579,788
Total non-financial liabilities		126,770,613	91,216,166
EQUITY			
Equity Share capital	15	728,544,540	140,000,000
Other Equity	16	167,073,335	722,285,446
Total Equity		895,617,875	862,285,446
Total Liabilities and Equity		5,216,604,829	3,583,376,304
Significant accounting policies and notes to the financial statements	1 to 39		

As per our report of even date attached

For Desai Associates
 Chartered Accountants
 FRN : 102286W

Sana Mukadam
 (Partner)
 Membership No. 134272

 Place: Mumbai
 Date: May 29, 2019

**For and on behalf of the board of Directors
 of Cox & Kings Financial Service Limited**
Peter Kerkar
 Director
 DIN: 00202891

Milind Gandhi
 Chief Financial Officer

V. P. Ravindran Menon
 Director
 DIN: 07072356

Manasi Modak
 Company Secretary

STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED MARCH 31, 2019

		(Amount in ₹)	
Particulars	Note No.	Year Ended March 31, 2019	Year Ended March 31, 2018
Revenue from operations	17	1,018,573,908	947,796,110
Other income	18	6,179,184	1,276,448
Total Income		1,024,753,092	949,072,558
EXPENSES			
- Employee benefit expense	19	249,718,335	204,108,241
- Finance costs	20	443,352,606	263,279,636
- Depreciation and amortisation expense	21	3,730,799	4,332,340
- Other expenses	22	278,228,308	261,255,117
Total expenses		975,030,048	732,975,334
Profit before tax		49,723,044	216,097,224
Income tax expense			
- Current tax	23	25,348,324	81,189,649
- Deferred tax	23	(9,048,069)	(1,155,188)
Total tax expense		16,300,255	80,034,461
Profit for the Period		33,422,789	136,062,763
Other Comprehensive Income / (Loss) (OCI)			
<u>Items that will not be reclassified subsequently to profit or loss</u>			
Remeasurements of post-employment benefit obligations		(125,185)	(334,914)
Tax relating to these items	23	34,826	115,914
		(90,359)	(219,000)
<u>Items that will be reclassified subsequently to profit or loss</u>		-	-
Total other comprehensive income, net of tax		(90,359)	(219,000)
Total comprehensive income for the period		33,332,430	135,843,763
Earnings per Equity share of face value of ₹10 each			
Basic	26	0.46	1.86
Diluted		0.46	1.86
Significant accounting policies and notes to the financial statements	1 to 39		

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Sana Mukadam
(Partner)
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Company Secretary

CASH FLOW STATEMENT FOR THE YEAR ENDED MARCH 31, 2019

Particulars	(Amount in ₹)	
	Year Ended March 31, 2019	Year Ended March 31, 2018
Cash Flow from Operating Activities		
Profit after income tax	33,332,430	135,843,763
Profit before income tax	33,332,430	135,843,763
<i>Adjustments for:</i>		
Provision for Taxes	16,265,429	79,918,547
Depreciation and amortisation expense	3,730,799	4,332,340
Dividend and interest income classified as investing cash flows	(627,825)	(1,276,448)
Loss on disposal of fixed assets	107,866	-
Finance costs	443,352,606	262,872,862
Change in operating assets and liabilities		
(Increase)/Decrease in trade receivables	(1,991,928,875)	(2,598,694,726)
Increase in trade payables	21,610,037	115,156,029
(Increase) in other financial assets	559,687,208	(107,915,082)
Increase in employee benefit obligations	10,213,567	13,579,788
Increase in financial liabilities	37,570,793	14,693,664
Cash Generated from Operation	(866,685,965)	(2,081,489,263)
Income taxes paid (net of income tax refund)	1,983,972	3,553,271
Net Cash from Operating Activities	(868,669,937)	(2,085,042,534)
Cash Flow from Investing Activities		
Payments for property, plant and equipment	(21,003,436)	(17,969,332)
Payment from purchase of investments	(500,000)	-
Investment in Fixed Deposit	-	(29,982,705)
Proceeds from Fixed Deposit	29,982,705	-
Interest received	611,220	1,276,448
Net cash outflow from investing activities	9,090,489	(46,675,589)
Cash Flow from Financing Activities		
Proceeds from borrowings	1,500,000,000	2,497,922,142
Repayment of borrowings	-	(506,780,418)
Increase in Share Capital	-	624,544,540
Interest paid	(438,191,788)	(262,872,862)
Net cash inflow (outflow) from financing activities	1,061,808,212	2,352,813,402
Net increase (decrease) in cash and cash equivalents	202,228,764	221,095,279
Cash and cash equivalents at the beginning of the financial year	221,095,279	-
Cash and cash equivalents at end of the year	423,324,043	221,095,279
<i>Reconciliation of cash and cash equivalents as per the cash flow statement</i>		
Cash and cash equivalents as per above comprise of the following:		
	March 31, 2019	March 31, 2018
Cash and cash equivalents (including foreign currencies and Notes)	75,839,524	41,498,785
Bank overdrafts	347,484,519	179,596,494
Balances as per statement of cash flows	423,324,043	221,095,279
Significant accounting policies and notes to the financial statements - 1 to 39		

As per our report of even date attached

For Desai Associates
 Chartered Accountants
 FRN : 102286W

Sana Mukadam
 (Partner)
 Membership No. 134272

 Place: Mumbai
 Date: May 29, 2019

**For and on behalf of the board of Directors
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Manasi Modak
 Company Secretary

Notes forming part of the financial statements for the year ended 31st March 2019

1. Significant Accounting Policies

A. General information

Cox and Kings Financial Service Limited ('the Company') is engaged in the business of foreign exchange services. The company is a Public limited company incorporated and domiciled in India and has its registered office at Mumbai, Maharashtra, India.

B. Basis of Preparation

These financial statements of the Company have been prepared in accordance with the Indian Accounting Standards (Ind AS) to comply with Section 133 of the Companies Act, 2013 ("the 2013 Act"), and the relevant provisions of the Companies Act, 2013.

The significant accounting policies used in preparing financial statements set out below and is applied consistently to all the periods presented.

C. Functional and presentation currency

These financial statements are presented in Indian rupees (INR), which is the Company's functional currency.

D. Basis of measurement

The financial statements have been prepared on the historical cost basis except for the following items:

- Certain financial assets and liabilities are measured at fair value;
- Defined benefit plans – plan assets measured at fair value;

E. Key estimates and assumptions

The preparation of financial statements in accordance with Ind AS requires use of estimates and assumptions for some items, which might have an effect on their recognition and measurement. The actual amounts realised may differ from these estimates.

Estimates and assumptions are required in particular for:

- **Recognition and measurement of defined benefit obligations**

The obligation arising from defined benefit plan is determined on the basis of actuarial assumptions. Key actuarial assumptions include discount rate, trends in salary escalation, actuarial rates and life expectancy. The discount rate is determined by reference to market yields at the end of the reporting period on government bonds. The period to maturity of the underlying bonds correspond to the probable maturity of the post-employment benefit obligations.

- **Recognition of deferred tax liabilities**

Deferred tax assets and liabilities are recognized for the future tax consequences of temporary differences between the carrying values of assets and liabilities and their respective tax bases, and unutilized business

loss and depreciation carry-forwards and tax credits. Deferred tax assets are recognized to the extent that it is probable that future taxable income will be available against which the deductible temporary differences, unused tax losses, depreciation carry-forwards and unused tax credits could be utilized.

- **Provisions and contingent liabilities**

Provisions and liabilities are recognized in the period when it becomes probable that there will be a future outflow of funds resulting from past operations or events and the amount of cash outflow can be reliably estimated. The timing of recognition and quantification of the liability require the application of judgement to existing facts and circumstances, which can be subject to change. Since the cash outflows can take place many years in the future, the carrying amounts of provisions and liabilities are reviewed regularly and adjusted to take account of changing facts and circumstances.

- **Fair Value measurement**

When the fair values of financial assets and financial liabilities recorded in the Balance Sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques, including the discounted cash flow model, which involve various judgements and assumptions.

F. Significant accounting policies

a. Foreign currency transaction and translation

Transactions in foreign currencies are translated into the respective functional currencies at exchange rates on the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Foreign currency differences are generally recognized in profit or loss. Foreign exchange differences regarded as an adjustment to borrowing costs are presented in the statement of profit and loss, within finance costs. All other foreign exchange gains and losses are presented in the statement of profit and loss on a net basis within other gains/(losses). Non-monetary items that are measured in terms of historical cost in a foreign currency are recorded using the exchange rate at the date of the transaction. Non-monetary items measured at fair value in foreign currency are translated using the exchange rates at the date when the fair value was measured.

b. Revenue recognition

- **Income from Foreign Currency**

Revenue on foreign exchange services is recognized at the time of sale. Revenue reflects margin made on business volume. Profit or loss

on purchase and sale of foreign exchange by the Company are accounted as part of the revenue.

- **Interest and Dividend**

Interest is recognized on effective interest rate method. Dividend income is recognized when the right to receive the payment is established.

c. Employee benefits

- **Short term employee benefits**

Short-term employee benefits are expensed as the related service is provided. A liability is recognized for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

- **Post-Employment Employee Benefits**

Defined contribution plans

The Company makes specified monthly contributions towards employee provident fund directly to the Government under the Employees Provident Fund Act, 1952 and is not obliged to bear the shortfall, if any, between the return on investments made by the Government from the contributions and the notified interest rate.

Defined benefit plans

The Company's net obligation in respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in the current and prior periods, discounting that amount and deducting the fair value of any plan assets.

The calculation of defined benefit obligations is performed annually by a qualified actuary using the projected unit credit method. When the calculation results in a potential asset for the Company's, the recognized asset is limited to the present value of economic benefits available in the form of any future refunds from the plan or reductions in future contributions to the plan. To calculate the present value of economic benefits, consideration is given to any applicable minimum funding requirements. Re-measurement of the net defined benefit liability, which comprise actuarial gains and losses, the return on plan assets (excluding interest) and the effect of the asset ceiling (if any, excluding interest), are recognized immediately in OCI. Net interest expense (income) on the net defined liability (assets) is computed by applying the discount rate, used to measure the net defined liability (asset), to the net defined liability (asset) at the start of the financial year after taking into account any changes as a result of contribution and benefit payments during the year. Net interest

expense and other expenses related to defined benefit plans are recognized in Profit & Loss A/c.

When the benefits of a plan are changed or when a plan is curtailed, the resulting change in benefit that relates to past service or the gain or loss on curtailment is recognized immediately in profit or loss. The Company recognizes gains and losses on the settlement of a defined benefit plan when the settlement occurs.

- **Other long-term employee benefits**

Long-term Compensated Absences are provided for on the basis of an actuarial valuation, using the Projected Unit Credit Method, as at the date of the Balance Sheet. Actuarial gains / losses comprising of experience adjustments and the effects of changes in actuarial assumptions are immediately recognized in the Statement of Profit and Loss.

d. Finance income and finance costs

The Company's finance income and finance costs include:

- interest income; interest expense;
- exchange differences arising from monetary assets and liabilities
- interest income or expense is recognized using the effective interest rate method.

e. Income Tax

Income tax expense comprises current and deferred tax. It is recognized in profit or loss except to the extent that it relates to a business combination, or items recognized directly in equity or in OCI.

Current tax is determined as the amount of tax payable in respect of taxable income for the year as determined in accordance with the provision of Income Tax Act, 1961. Deferred tax is recognized on timing differences, between taxable income and accounting income that originated in one period and is capable of reversal in one or more subsequent periods.

Deferred tax assets are recognized with regard to all deductible timing differences to the extent it is probable that taxable profit will be available against which deductible timing differences can be utilized. When the company carries forward unused tax losses and unabsorbed depreciation, deferred tax assets are recognized only to the extent there is virtual certainty backed by convincing evidence that sufficient future taxable income will be available against which deferred tax assets can be realized. The carrying amounts of deferred tax assets are reviewed at each balance sheet date and reduced by the extent that it is no longer probable that sufficient taxable profit will be available to allow all or a part of the deferred tax asset to be utilized. Minimum Alternate Tax (MAT) credit is recognized as an asset only when and to the extent there is